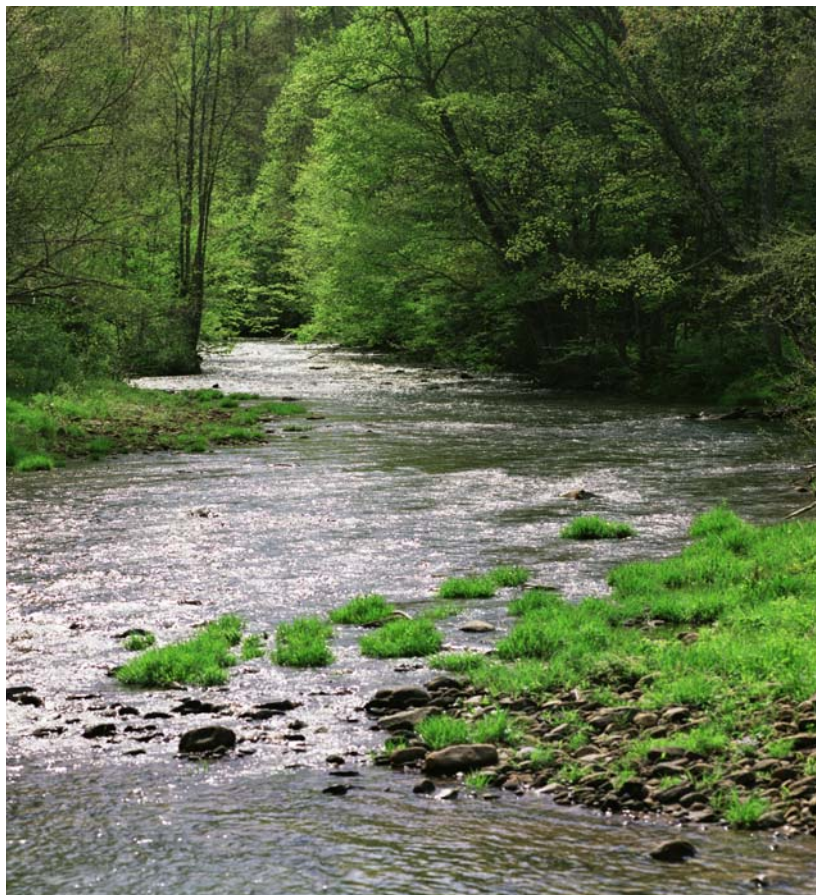


PARDEE RESOURCES COMPANY

1ST QUARTER 2020



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q1 2020, Pardee Resources Company earned \$1.08 per share, 64% below the \$3.02 per share earned during Q1 2019. EBITDA was \$3.58 per share, a 43% decrease below last year's level. The Q3 2019 idling of operations at one of our coal properties and lower commodity prices for both metallurgical coal and natural gas were the main contributors to the decline in our results. The first quarter results were also impacted by the initial effects of the COVID-19 pandemic. The extent of the impact of COVID-19 on our business for the remainder of the year is uncertain.

Coal & Minerals Division: The metallurgical coal market weakness of Q4 2019 spilled into Q1 2020 as global demand declined further due to COVID-19. Shipments from Pardee's properties totaled 512,996 tons during the quarter, down 33% from Q1 2019 levels, as operations on our Powellton Minerals tract have been idle since September 2019. In late April 2020, this leasehold was acquired out of bankruptcy, with Pardee receiving \$803,342 in past due lease obligations at closing. The new lessee, a leading met coal producer, plans to resume production later this year. At our PLC Minerals tract, operations were idled in early April due to COVID-19 related market and health concerns but are expected to resume in late Q2 2020.

Oil & Gas Division: U.S. natural gas spot market prices averaged \$1.95 per MMBtu (NYMEX) during the quarter, down 38% versus Q1 2019 levels as mild winter weather and excess supply both worked against prices. Similarly, Pardee's realized price during the quarter was \$2.03 per mcf, 35% below the \$3.13 per mcf earned in Q1 2019. Price declines were offset by an 11% increase in production, resulting from new wells on our interests in Colorado, West Virginia, and Virginia. In the aftermath of the recent collapse of the oil markets, natural gas prices are expected to benefit as domestic oil producers scale back drilling, thereby reducing the production of so-called "associated" gas. As of late April 2020, NYMEX natural gas futures were trading above \$3.00 per MMBtu for Q1 2021 delivery.

Timber & Surface Division: In mid-January, the U.S. hardwood timber producers received long-awaited relief when China agreed to ease import tariffs. While the relief was short-lived due to the outbreak of COVID-19, U.S. hardwood exports have recently begun to improve with the re-opening of China's economy. The domestic hardwood markets remain under pressure due to the closing of many home construction sites. Conversely, our Virginia softwood markets benefited during the quarter from strength in demand for pulp used in the production of paper towels and tissue products, which has continued into Q2. Wet and mild weather somewhat hindered timbering operations during Q1, leading to a modest decline in hardwood production, while softwood production from our properties increased slightly versus last year.

Agriculture Division: Southern California weather has been favorable for our table grape farms during early 2020, boding well for harvests in the fall. Due to ample "social" distancing,

farm field operations are able to proceed unabated despite the pressures of COVID-19. During early 2020, our operating partners developed an in-house marketing team in order to better service their clients, and early 2020 market indications are positive. As with coal and hardwood timber, tariffs on U.S. table grape exports to China were eased in February, an important development for our premium seedless table grape varieties. Meanwhile, the development of our 420-acre Portugal almond farm has not been impacted by the COVID-19 pandemic and the farm remains on schedule to deliver its first harvest in Q3 2021.

Alternative Energy Division: Due to favorable weather, production from our solar PV facilities increased 13.8% during Q1 versus a year ago, leading to an 8% increase in revenues for the Division. Neither the electricity production of our solar PV facilities nor the related revenues are expected to be impacted by COVID-19. While certain host operations have been idled such as schools, the electricity production from our average system represents only a small portion of the host's total electricity demand and our long-term power purchase contracts include "take or pay" requirements. As disclosed in earlier reports, the Company's investment in DC Solar represents a potential loss of up to \$7.2 million, the status of which remains unchanged (For more information on the DC Solar matter, please see the legal footnote on page 6 of this report).

Strategic Focus: As COVID-19 spread to the U.S., our first concern was the health and welfare of our employees and business partners. With our fully-connected IT capabilities, our team was able to transition to a work-from-home format in mid-March, and has since worked hard to ensure that our business proceeds with no meaningful disruptions. During this difficult period we are again thankful for our diversified portfolio of assets and for our strong balance sheet, which as of March 31, 2020, included \$24 million in cash and no debt. While keeping a particularly close eye on our financial position and prioritizing the payment of our common dividends, we continue to search for new investment opportunities which may arise from distressed situations within our areas of expertise.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
William G. Foulke

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President & CEO
Carleton P. Erdman

Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

	<u>03-31-20</u>	<u>12-31-19</u>
ASSETS		
Current Assets:		
Cash & Cash Equivalents	\$23,977	\$22,239
Accounts Receivable	6,012	7,099
Prepaid Income Taxes	509	802
Other	<u>1,251</u>	<u>1,405</u>
	<u>31,749</u>	<u>31,545</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	29,518	29,600
Mineral Rights - Coal	33,588	33,618
Timber	10,995	11,181
Solar Equipment	22,817	23,145
Building & Structures	1,319	1,355
Agriculture Development	7,315	7,367
Equipment	615	619
Automobiles	123	86
Other Fixed Assets	<u>836</u>	<u>864</u>
	<u>107,126</u>	<u>107,835</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	40,559	41,301
Equity Investments	417	442
Right of Use Asset	3,747	3,841
Other	<u>3</u>	<u>104</u>
Total Assets	<u><u>\$183,601</u></u>	<u><u>\$185,068</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$1,712	\$2,175
Deferred Revenues	572	1,096
Current Portion Lease Liability	<u>584</u>	<u>584</u>
	2,868	3,855
Noncurrent Liabilities:		
Asset Retirement Liability	155	154
Supplemental Pension Plan	425	425
Deferred Revenue, Net of Current Portion	1,659	1,275
Deferred Taxes	17,820	17,819
Lease Liability	3,362	3,544
Other	<u>72</u>	<u>58</u>
Total Liabilities	<u>26,361</u>	<u>27,130</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	13,865	14,905
Accumulated Other Comprehensive Income	41	41
Retained Earnings	166,089	166,562
Treasury Stock	<u>(26,341)</u>	<u>(27,347)</u>
	154,429	154,936
Noncontrolling Interest	<u>2,811</u>	<u>3,002</u>
Total Equity	<u>157,240</u>	<u>157,938</u>
Total Liabilities & Equity	<u><u>\$183,601</u></u>	<u><u>\$185,068</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>03-31-20</u>	Three Months Ended <u>03-31-19</u>
Divisional Revenues:		
Coal & Minerals	\$2,390	\$3,985
Oil & Gas	1,644	2,049
Timber & Surface	1,005	1,099
Alternative Energy	782	722
Agriculture	<u>0</u>	<u>0</u>
	<u>5,821</u>	<u>7,855</u>
Divisional Expenses:		
Coal & Minerals	699	628
Oil & Gas	1,170	1,335
Timber & Surface	744	693
Alternative Energy	583	595
Agriculture	<u>159</u>	<u>168</u>
	<u>3,355</u>	<u>3,419</u>
Net Operating Income	\$2,466	\$4,436
Interest and Other Income (Loss)	69	68
Gain (Loss) on Equity Investment	(10)	(15)
General and Administrative	(1,590)	(1,737)
Interest Expense	<u>0</u>	<u>(66)</u>
Income Before Taxes	\$935	\$2,686
Taxes	<u>243</u>	<u>698</u>
NET INCOME	\$692	\$1,988
Net Loss Attributable to Noncontrolling Interest	<u>17</u>	<u>18</u>
Net Income Attributable to Pardee Resources Shareholders	<u><u>\$709</u></u>	<u><u>\$2,006</u></u>
EARNINGS PER SHARE	<u><u>\$1.08</u></u>	<u><u>\$3.02</u></u>
EBITDA PER SHARE	<u><u>\$3.58</u></u>	<u><u>\$6.30</u></u>
(earnings before interest, taxes, depreciation and amortization)		
Weighted Average Number of Common Shares Outstanding	<u><u>654,439</u></u>	<u><u>664,872</u></u>
Common Dividend Per Share	<u><u>\$1.80</u></u>	<u><u>\$1.80</u></u>
Total Shareholder Return (dividend paid plus change in stock price)	<u><u>-26.36%</u></u>	<u><u>3.15%</u></u>

Pardee Resources Company
Comparison Data Sheet

	Three Months Ended <u>03-31-20</u>	Three Months Ended <u>03-31-19</u>	% Change
Coal & Minerals			
Revenues - Millions	\$2.39	\$3.99	-40.1%
Production - Coal Tons - Millions	0.51	0.76	-32.9%
Royalty/Coal Ton	\$3.09	\$4.39	-29.6%
Oil & Gas			
Revenues - Millions	\$1.64	\$2.05	-20.0%
Production - bcfe	0.73	0.66	10.6%
Price/mcfe	\$2.03	\$3.13	-35.1%
Timber & Surface			
Revenues - Millions	\$1.01	\$1.10	-8.2%
Production - Board feet - Millions	2.56	2.63	-2.7%
Stumpage Price/Thousand Bd. Ft.	\$200.63	\$236.55	-15.2%
Production - Softwood Tons - Thousands	14.46	13.12	10.2%
Stumpage Price/Ton Softwood	\$15.75	\$15.82	-0.4%
Production - Hardwood Tons - Thousands	7.43	7.08	4.9%
Stumpage Price/Ton Hardwood	\$2.38	\$3.22	-26.1%
Alternative Energy			
Revenues - Millions	\$0.78	\$0.72	8.3%
Production - k/w - Millions	3.63	3.19	13.8%
Electric Sales Price per k/w	\$0.112	\$0.118	-5.1%
Production - SREC Units	1,975	1,841	7.3%
SREC Price/Credit	\$176	\$175	0.6%
NET DIVISIONAL OPERATING INCOME:			
(Dollars in Millions)			
Coal & Minerals	\$1.69	\$3.36	-49.7%
Oil & Gas	0.47	0.71	-33.8%
Timber & Surface	0.26	0.41	-36.6%
Alternative Energy	0.20	0.13	53.8%
Agriculture	(0.16)	(0.17)	5.9%
Net Operating Income	<u>\$2.46</u>	<u>\$4.44</u>	-44.6%
EBITDA - Millions	<u>\$2.34</u>	<u>\$4.19</u>	-44.2%
(earnings before interest, taxes, depreciation and amortization)			

Lexington v. Zinn

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Petroleum Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

Discovery is not complete, and a trial date has not been set. On October 16, 2019, the district court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This is a favorable development but is being appealed by the plaintiff.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

***Kings' Dome**

In 2016, the Company settled a lawsuit challenging its mineral servitude and lease in the Kings' Dome Field in Louisiana for an immaterial amount. Following this settlement, the Company's lessee and that lessee's assignee ("cross claimants") filed cross claims for the royalties paid the Company under the lease in the event the lessee and/or its assignee were held liable on the plaintiffs' claims for recovery of production revenues. The cross claimants recently agreed to dismiss their cross claims against the Company, and by order of dismissal dated February 14, 2020 the court granted the parties' joint motion to dismiss the cross claims with prejudice. Therefore, all potential liability against the Company in connection with the 2016 legal action has been resolved.

***DC Solar Solutions, Inc.**

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. The Company learned through public sources in early 2019 that the U.S. government seized substantially all of the assets of DC Solar and its affiliates in December 2018. DC Solar and its affiliates, including our lessee, subsequently filed for Chapter 11 bankruptcy protection in February 2019. An affidavit from a Federal Bureau of Investigation special agent was filed in February 2019 in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceeding was subsequently converted to a Chapter 7 liquidation. Due to the bankruptcy proceedings being converted to Chapter 7 liquidation, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

An independent audit was completed in 2019 which ultimately located and identified all of the 125 MSGs purchased by the Fund in 2015. In November 2019, the Company and the Fund, along with other investors in other DC Solar sponsored funds and the funds in which they invested, filed a legal action against numerous third-party professional firms who provided services to the investors in connection with their respective purchases of the MSGs. In January 2020, the principals of DC Solar pled guilty to charges of criminal fraud and money laundering in U.S. District Court. The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from this fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$7.2 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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